

Content Release Notes: International VAT

Release Window: 2026-05-01 to 2026-05-31

Content Type: International VAT

Generated: 2026-06-30

European Union

VALUE ADDED TAX (VAT)

Domestic VAT Out-of-Scope Expansion

Citation: [EU Commission Directive 2026/X42](#)

Effective Date: 2026-05-21

Summary: The Domestic VAT Out-of-Scope provision in the European Union was expanded effective May 21, 2026.

Impact: Out-of-Scope treatment has been expanded to include service and digital transaction types. Prior to this change, treatment was primarily limited to product transactions.